

SENATE BILL 2233

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 66,
Chapter 2, Part 3, relative to restrictions on land
purchases.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 66-2-302(1), is amended by deleting subdivision (B).

SECTION 2. Tennessee Code Annotated, Section 66-2-302(5), is amended by adding the following as a new subdivision:

() Includes rights to oil; gas; all other minerals known and recognized as commercial minerals, including coal, lignite, and brine, underlying the land; ground water; and surface water;

SECTION 3. Tennessee Code Annotated, Section 66-2-302(6), is amended by adding the following as a new subdivision:

() Includes rights to oil; gas; all other minerals known and recognized as commercial minerals, including coal, lignite, and brine, underlying the land; ground water; and surface water;

SECTION 4. Tennessee Code Annotated, Section 66-2-302(9), is amended by adding "or designated by the United States department of commerce pursuant to 15 C.F.R. Part 791, Subpart A, as amended, transferred, or succeeded" immediately following "subject to international traffic in arms regulations under 22 C.F.R. § 126.1" wherever it appears.

SECTION 5. Tennessee Code Annotated, Section 66-2-302(10), is amended by deleting the subdivision and substituting:

(10) "Prohibited foreign-party-controlled business" means any entity in which a prohibited foreign party holds a controlling interest or significant interest or exercises substantial control;

SECTION 6. Tennessee Code Annotated, Section 66-2-302(13), is amended by deleting "interest of thirty-three percent (33%) or more" wherever it appears and substituting "interest of ten percent (10%) or more".

SECTION 7. Tennessee Code Annotated, Section 66-2-302(13)(C), is amended by deleting "interest of fifty percent (50%) or more" and substituting "interest of thirty-three percent (33%) or more".

SECTION 8. Tennessee Code Annotated, Section 66-2-304(b)(2), is amended by deleting the subdivision and substituting:

(2) Within the later of sixty (60) days after:

(A) January 1, 2025;

(B) The date that the party is designated as a prohibited foreign party;

(C) The date that the business meets the definition of a prohibited foreign-party-controlled business; or

(D) The date the prohibited foreign party or prohibited foreign-party-controlled business acquires the interest in agricultural land.

SECTION 9. Tennessee Code Annotated, Section 66-2-306(b)(2), is amended by deleting the subdivision and substituting:

(2) Within the later of sixty (60) days after:

(A) January 1, 2025;

(B) The date that the business meets the definition of a prohibited foreign-party-controlled business; or

(C) The date the prohibited foreign-party-controlled business acquires the interest in non-agricultural land.

SECTION 10. Tennessee Code Annotated, Section 66-2-308(b), is amended by deleting the subsection and substituting:

(b) This part does not apply to a prohibited foreign party or prohibited foreign-party-controlled business that possesses an interest in agricultural land or non-agricultural land if such prohibited foreign party or prohibited foreign-party-controlled business:

(1) Is duly registered and in good standing with the secretary of state as of the later of:

(A) January 1, 2025;

(B) The date that the party is designated as a prohibited foreign party; or

(C) The date that the business meets the definition of a prohibited foreign-party-controlled business; and

(2) Has:

(A) Been approved by the committee on foreign investment in the United States (CFIUS); or

(B) Previously received a determination that there are no unresolved national security concerns or that pending actions under Section 721 of the Defense Production Act of 1950 (50 U.S.C. App. 2170) are concluded with respect to a covered transaction, as defined in 31 C.F.R. § 800.213; provided, that such prohibited foreign party or prohibited foreign-party-controlled business has not undergone a change

in control constituting a covered control transaction, as defined in 31
C.F.R. § 800.210, since such determination.

SECTION 11. This act takes effect upon becoming a law, the public welfare requiring it,
and applies to acts occurring on or after that date.